

THE WALL STREET JOURNAL.

DOW JONES | News Corp *****

TUESDAY, FEBRUARY 4, 2025 ~ VOL. CCLXXXV NO. 28

WSJ.com

★★★★ \$5.00

DJIA 44421.91 ▼ 122.75 0.28% NASDAQ 19391.96 ▼ 1.2% STOXX 600 534.85 ▼ 0.9% 10-YR. TREAS. ▲ 6/32, yield 4.542% OIL \$73.16 ▲ \$0.63 GOLD \$2,833.90 ▲ \$21.40 EURO \$1.0345 YEN 154.77

What's News

Business & Finance

◆ **The Trump** administration's proposed tariffs jolted global markets, driving huge swings in stocks around the world and lifting the dollar. In the U.S., the S&P 500, Nasdaq and Dow shed 0.8%, 1.2% and 0.3%, respectively. **A1**

◆ **Steel prices began** rising for some U.S. companies even before Trump announced tariffs on Canada and Mexico and executives were bracing for more increases. **B1**

◆ **Oil prices rose** on fears that Trump's tariffs on major trade partners could disrupt supplies and raise prices at the pump. **B9**

◆ **Vanguard slashed the fees** on nearly half of its U.S. funds by an average of 20%, saying the reductions would save its investors \$350 million this year. **B1**

◆ **SoftBank and ChatGPT** maker OpenAI plan to collaborate to offer artificial-intelligence services in Japan and establish a model for global adoption. **B4**

◆ **L'Oréal will sell** part of its stake in Sanofi back to the French pharmaceutical company for €3 billion, or \$3.11 billion, bolstering the French beauty firm's balance sheet. **B3**

◆ **Chrysler parent Stellantis** proceeded with measures to simplify its organization and named new heads of its Jeep and Peugeot brands. **B3**

◆ **Tyson Foods shrugged off** the impact that heightened trade tensions may have on its exports of pork and chicken. **B2**

◆ **Porsche said it would** discuss with its finance chief and its executive-board member for sales and marketing an early termination of their contracts. **B3**

World-Wide

◆ **Secretary of State** Marco Rubio notified lawmakers that he intends to work with Congress to reorganize USAID, stepping back from the sudden closure of the agency Elon Musk envisioned after barring its workers from its headquarters earlier in the day. **A1**

◆ **Trump stunned** corporate leaders and foreign officials by agreeing to last-minute, monthlong delays of his tariffs on Mexico and Canada, while leaving the countdown on levies on China in place. **A1, A4-5**

◆ **Advisers to the president** were weighing executive actions to dismantle the Education Department as part of the campaign to shrink federal agencies. **A6**

◆ **Treasury Secretary** Scott Bessent is ordering a freeze on work at the Consumer Financial Protection Bureau, after being named its acting director by Trump. **A2**

◆ **Climate change will** cause a \$1.47 trillion decline in U.S. home values by 2055, according to a new study from climate-research company First Street. **A3**

◆ **The Trump administration** asked congressional leaders to approve new transfers of roughly \$1 billion of military hardware to Israel. **A7**

◆ **Venezuela's opposition** leader vowed to continue fighting for democracy after a Trump envoy cut a deal with the Maduro regime to facilitate U.S. deportations. **A20**

◆ **Major League Baseball** fired umpire Pat Hoberg after he was caught sharing the sports gambling accounts of a professional poker player who had wagered on baseball. **A2**

CONTENTS Market Digest..... B7
Arts in Review..... A16
Business & Finance B2
Business News..... B3
Crossword..... A16
Heard on Street..... B10
Markets..... B9
Opinion..... A17-19
Personal Journal A14-15
Sports..... A13
Technology..... B4
U.S. News..... A2-6
World News A7-8, A20



© 2025 Dow Jones & Company, Inc.
All Rights Reserved



Mexican President Claudia Sheinbaum on Monday vowed to send troops to the U.S. border and take steps against drug trafficking.

Trump Delays Imposing Tariffs On Mexico, Canada at 11th Hour

WASHINGTON—President Trump stunned corporate leaders and foreign officials Monday by agreeing to last-minute delays of his tariffs on Mexico

By Gavin Bade,
Ryan Felton
and Chip Cutter

and Canada, while leaving his levies on China set to go into effect early Tuesday.

After a phone call with President Claudia Sheinbaum of Mexico, in which she pledged national guard troops

to help stop migration into the U.S., both leaders said they agreed to take joint measures to fight fentanyl trafficking across the U.S. border. She agreed to swiftly supply 10,000 Mexican soldiers on the border, and the U.S. agreed to work to prevent the trafficking of high-caliber weapons to Mexico, Sheinbaum said.

“Our teams will begin working today on two fronts: security and trade,” she said.

Trump said on his social-media platform Truth Social on Monday morning that Secre-

tary of State Marco Rubio, Treasury Secretary Scott Bessent and Commerce Secretary nominee Howard Lutnick would continue negotiations “as we attempt to achieve a ‘deal’ between our two Countries.”

Later in the day, Prime Minister Justin Trudeau of Canada said Trump’s tariffs on his nation also were delayed. “Canada is implementing our \$1.3 billion [Canadian dollars] border plan—reinforcing the border with new choppers, technology and personnel, enhanced coordination with our American

partners, and increased resources to stop the flow of fentanyl,” he said on X after a call with Trump. “Proposed tariffs will be paused for at least 30 days while we work together.”

Trump, a Republican, con-

Please turn to page A4

◆ **Greg Ip: A new trade war** waged with abandon..... **A4**

◆ **China prepares to talk** trade with Trump..... **A5**

◆ **U.S.-EU trade war would** threaten alliance..... **A5**

◆ **Tariffs enable steelmakers** to hike prices..... **B1**

Trade-War Threats Jostle Markets

By GUNJAN BANERJI

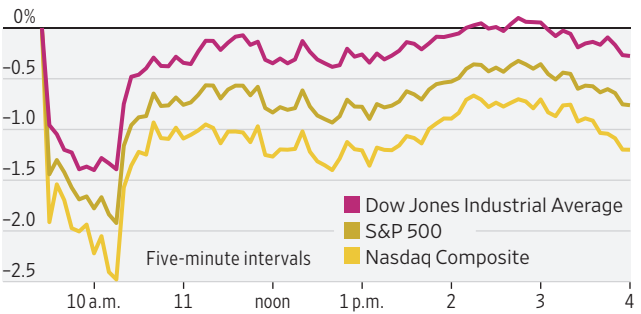
President Trump’s proposed tariffs jolted global markets Monday, driving huge swings in stocks around the world.

President Trump’s weekend threat to place tariffs on goods imported from Mexico, Canada and China triggered a sharp overnight drop in global stocks and futures that continued in early trading Monday. But by midday, many of the trades had reversed after the U.S. and Mexico struck a last-minute deal to delay new levies. Trump also agreed to delay tariffs on Canada.

Investors were closely monitoring the developments, hopeful for a resolution.

“People are pretty optimistic that either the tariffs don’t

Index performance on Monday



Source: FactSet

happen or they’re much more tamped down,” said Danny Kirsch, head of options at Piper Sandler. Investors are wearing “rose-tinted glasses right now.”

The Dow Jones Industrial Average fell more than 650

points before paring much of those declines. It closed down 122.75 points, or 0.3%. The S&P 500 slipped 0.8%, while the tech-heavy Nasdaq Composite shed 1.2%.

Early Tuesday, Hong Kong’s Hang Seng Index was up 2.9%.

Mainland Chinese markets remained closed until Wednesday for the Lunar New Year.

Investors sold off shares of automaker General Motors, logistics giant FedEx, rail operator Union Pacific and warehousing firm GXO Logistics, among others. GM shares declined around 3.2%, after earlier falling more than 9%.

The moves are an early indication of how Wall Street is weighing the potential fallout from a trade war. New trade barriers could pressure the companies that ship both finished goods as well as commodities such as lumber across the Canadian and Mexican borders.

Please turn to page A4

◆ **U.S. tariff threats send oil** prices higher..... **B9**

A Yearlong Discount at Applebee’s Tests a Family’s Commitment

North Dakota couple used menu hacks and road trips to get the full value of pass

By HEATHER HADDON

As the end of January approached, Emily Brooks had to face a stomach-churning truth.

Her family had wolfed down 16 sides of Loaded Garlic Mashed Potatoes, five cheeseburgers and five orders of Brew Pub Pretzels & Beer Cheese Dip during their visits to Applebee’s restaurants in December and January.

And it wasn’t enough. Nearly a year ago, the Fargo, N.D., family snagged one of the chain’s Date Night Pass subscriptions, offering 52 discounted meals at the casual dining chain for a total savings of more than \$1,500. Applebee’s pitched the gold-colored passes as tickets to regular romance at a reasonable price — and consumers snapped up the entire supply of the original run in less than

a minute.

For the Brookses, the pass became a ticket to a marathon that has taken them to Applebee’s locations in three states. They learned how to hack the menu to keep things interesting. The family treated visiting relatives to Applebee’s entrees. And when Emily’s husband Bill went on a diet, they found ways to eat healthy as servers toted plates of nachos and Whole Lotta Bacon Burgers past their table week after week.

Despite their fervor, the Brookses fell way behind. In December, they started mapping out meals on the calendar to wring every last boneless wing and Fiesta Lime Chicken from the pass before it expired on Jan. 31.

They averaged two to three trips to Applebee’s a week for much of December and January. *Please turn to page A15*

INSIDE



SPORTS
The football outsider who keeps masterminding Super Bowl teams. **A13**



PERSONAL JOURNAL
More people are imbibing less, motivated by health risks and the rise of mocktails. **A15**

DeepSeek Rattled Everyone but Nvidia

American AI giant’s stock swooned, but it sees a long game in China

On President Trump’s inauguration day, Nvidia Chief Executive Jensen Huang wasn’t sitting by the president’s side at the Capitol like many tech moguls. He wasn’t invited, an Nvidia official said, so he had gone to Beijing.

By Raffaele Huang,
Stu Woo and Asa Fitch

At a gathering there, Huang told customers and employees of his strong commitment to the Chinese market, according to a recording. That meant Nvidia intended to keep selling chips for artificial intelligence in China, holding back their performance to comply with ever-tighter curbs imposed by Washington.

A week later, Nvidia’s stock price fell 17% in a single day, after Chinese company Deep-

USAID Offices Are Shut, Its Future Uncertain

Rubio tells Congress he wants to rework agency after Musk moves to close it

WASHINGTON—Secretary of State Marco Rubio notified lawmakers Monday that he intends to work with Congress to reorganize the U.S. Agency for International Development, stepping back from the sudden closure of the agency Elon Musk envisioned after barring the agency’s workers from its headquarters earlier in the day.

By Michael R. Gordon,
Ken Thomas and
Alexander Ward

“The Department of State and other pertinent entities will be consulting with Congress and the appropriate committees to reorganize and absorb certain bureaus, offices, and missions of USAID,” he wrote to senior Republican and Democratic lawmakers.

Rubio’s note came hours after moves by Musk’s Department of Government Efficiency sought to exert control over the foreign-aid organization and shut its headquarters to agency officials.

It was unclear how Rubio’s promise to work with lawmakers to revamp USAID and potentially merge much of it into the State Department would be reconciled with Musk’s stated determination to close the agency. A White House statement sent late Monday afternoon didn’t address the closure of USAID, but listed a number of projects that it described as wasteful.

“Under President Trump, the waste, fraud, and abuse ENDS NOW,” the statement said.

An email to USAID personnel Monday morning said the move to close the headquarters was taken by “Agency leadership.” The message said that replies should be directed to an email address that appears to be associated with Gavin Klinger, whose LinkedIn profile identifies him as a special adviser to the director of the Office of Personnel Management and who works for DOGE.

“At the direction of Agency *Please turn to page A6*

Education In Crosshairs

President’s advisers weigh plan to dismantle the Education Department... **A6**

Seek said it achieved a leap in its AI capabilities using less-advanced Nvidia chips. Some investors interpreted the advance as undercutting the market in the West for Nvidia’s top-of-the-line chips. Yet Nvidia knew that risk came with what it was doing in China, the country identified by both political parties in Washington as America’s biggest global rival.

The Silicon Valley company argues that selling to Chinese customers helps it bring in revenue to keep its global lead in AI. Better to have those customers paying Nvidia billions of dollars and remaining hooked on its chips—plus the software surrounding them—than to send them searching for a Chinese alternative, company officials say. *Please turn to page A8*